BERNSTEIN
SOCIETE GENERALE GROUP

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US Retailing Broadlines & Hardlines

Walmart Inc

Rating

Outperform

Price Target

WMT **145.00 USD**

Walmart (WMT): Price investment fear overdone; omni-channel profitability supports upside

Investors have been concerned about Walmart's need for price investments on the back of Kroger's announcement, along with President Trump's Truth Social post followed by WMT's own press release about rollbacks. WMT remains a price leader and price investment is not new. We expect WMT to continue to gain share as it invests in price and widens price gaps. We also find concerns around price investments' margin impacts to be overdone as WMT leverages tariff refunds to fund price investments and offset freight inflation.

The longer term fundamental debate remains around WMT's profitability improvement potential led by its omni-channel initiatives. We estimate that WMT US core e-commerce had a FY26 EBIT margin of -6% on a fully loaded, unsubsidized basis. By automating fulfillment and densifying delivery routes, we see a path to profitability on an unsubsidized basis by FY2030. The core e-commerce profitability improvement could contribute ~+100bps to WMT US margin improvement.

Meanwhile, we conservatively expect WMT US retail media to grow from 4% GMV today to ~5% while its US GMV nearly doubles from $115B today. As retail media revenue grows from ~$4B to $11B, this could contribute ~75bps to WMT US EBIT margin. **Taken together, we see a path to a 7% EBIT margin for the WMT US segment**.

In present value terms, there is $1.25 EPS upside over the next 4 years. Adding this back to NTM consensus estimates suggests that **WMT is trading at ~27x P/E vs. its mature stage earnings power, below its historical average ~29x.**

Investment Implications

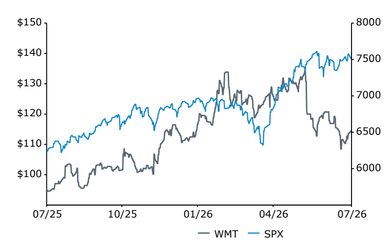
We rate Walmart Outperform, with a $145 Target Price. The pullback on the back of price investment jitters has created a more attractive entry point.

Close Date	13 Jul 2026
WMT Close Price (USD)	114.78
Price Target (USD)	145.00
Upside/(Downside)	26%
52-Week Range	135.16/94.38
SPX	7,515.34
FYE	Jan
Div Yield	0.9%
Market Cap (USD) (M)	913,428
EV (USD) (M)	983,523

Performance	YTD	1M	6M	12M
Absolute (%)	3.0	(5.2)	(4.6)	21.6
SPX (%)	9.8	1.1	7.9	20.1
Relative (%)	(6.8)	(6.3)	(12.6)	1.5

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F26A	F27E	F28E
WMT (USD)	2.64	3.09	3.60

Financials	F26A	F27E	F28E	CAGR
Reported EPS	2.73	3.10	3.60	14.8%
Revenues (M)	706,413	751,540	789,292	5.7%

Valuation Metrics	F26A	F27E	F28E
Adjusted P/E (x)	43.5	37.2	31.9
Reported P/E (x)	42.0	37.0	31.9
PEG Reported (x)	8.1	2.2	1.9
EV/Sales (x)	1.4	1.3	1.2
EV/FCF (x)	65.9	82.0	63.8
PEG Adjusted (x)	8.4	2.2	1.9

Source: Bloomberg, Bernstein estimates and analysis.

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DETAILS

NEAR TERM CONCERNS AROUND PRICE INVESTMENTS

Investors have been concerned about Walmart's need for price investments on the back of Kroger's announcement[1], along with President Trump's Truth Social post followed by WMT's own press release about rollbacks[2].

WMT remains a price leader, with its US grocery like-for-like inflation below CPI food-at-home inflation by a widening margin (Exhibit 1). Price investments are not new for WMT, evidenced by thousands of rollbacks every quarter in recent years (Exhibit 2). As a result, both Walmart US and Sam's Club US have been taking share in recent years, aided by the affordability crisis for middle- and low-income consumers (see "*Best of Times, Worst of Times: US Retail in a K-shaped economy*"). We expect WMT to continue to gain share as it invests in price and widens its price gap vs. competition.

Should we be worried about margins and flow through as WMT invests more in pricing? We see these fears as largely overdone. Walmart has announced it expects tariff refunds to come in just below 50bps of US net sales, or ~$3B (see "*US Broadlines & Hardlines Retail: Tariff refunds - when and how much?*"). This gives them plenty to reinvest in rollbacks this summer, and satisfy customers and the Administration alike. Walmart had guided to ~$1B in annual run rate higher costs from gasoline price inflation in Q1. Prices have come down since May, and the hit is likely to be lesser than expected.

Our view is that WMT has enough room to maneuver on pricing without hurting its bottom line, while preserving the market share momentum. The longer term fundamental debate remains around WMT's profitability improvement potential led by its omni-channel initiatives - more on that in the next section.

EXHIBIT 1: **WMT remains a price leader, with its US grocery like-for-like inflation below CPI food-at-home inflation by a widening margin.**

Quarter	Quarter End	WMT US grocery LFL inflation (%)	CPI food-at-home avg (%)	Spread: CPI-WMT
FY25 Q4	Jan 31, 2025	1.7%	1.7%	0.0%
FY26 Q1	Apr 30, 2025	1.5%	2.0%	0.5%
FY26 Q2	Jul 31, 2025	1.5%	2.3%	0.8%
FY26 Q3	Oct 31, 2025	1.3%	2.7%	1.4%
FY26 Q4	Jan 31, 2026	0.6%	2.1%	1.5%
FY27 Q1	Apr 30, 2026	0.6%	2.5%	1.9%

Source: Company reports, Haver, Bernstein analysis

[1] Kroger Plans Price Cuts as New CEO Looks to Regain Shoppers

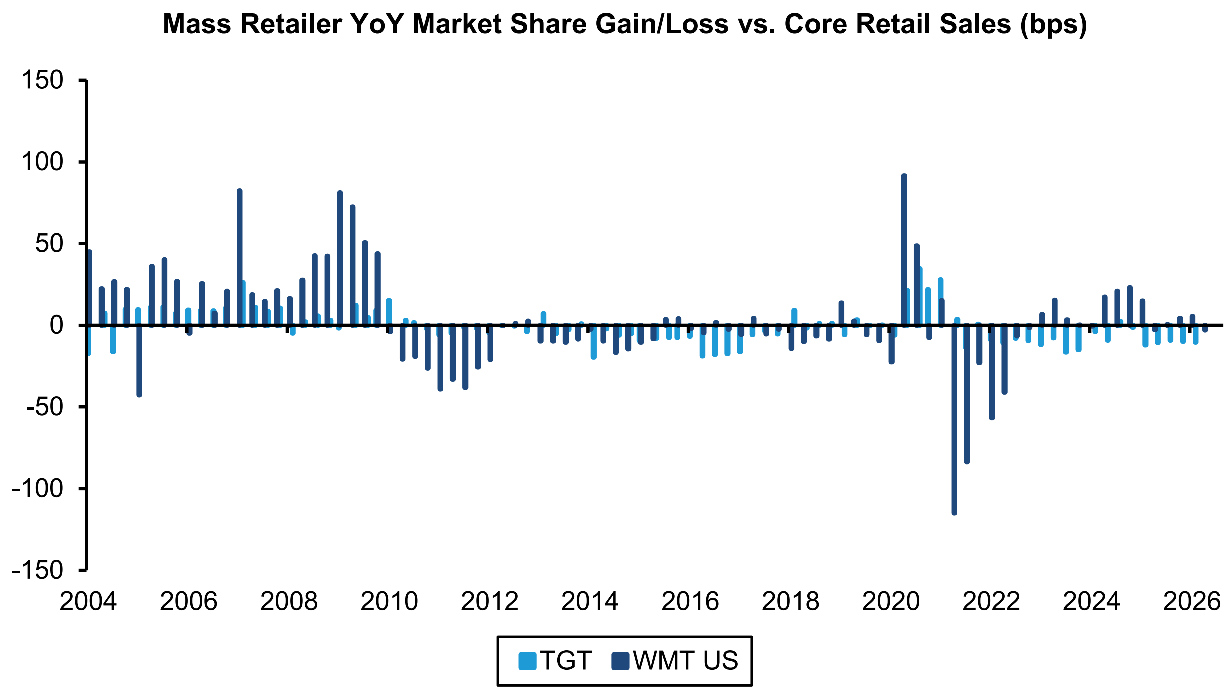
[2] Walmart and Sam's Club Lower Prices to Help Customers Make the Most out of Summer

EXHIBIT 2: **Price investments are not new for WMT, evidenced by thousands of rollbacks every quarter in recent years.**

Quarter	Quarter End	# of Rollbacks	Quotes
FY25 Q4	Jan 31, 2025	5800	As always, we're working hard to help bring down prices...**Our focus on bringing down pricing through rollbacks continues despite pockets of food inflation** in areas like eggs, bacon and ground beef. Like-for-like pricing in general merchandise and consumables was deflationary, while food remained inflationary in the low single digits...Thanks to the team we have over 5,800 rollbacks in stores today. Over 1,000 of those are new in just the last couple weeks.
FY26 Q1	Apr 30, 2025	5000	We will do our best to keep our prices as low as possible. But given the magnitude of the tariffs, even at the reduced levels announced this week, we aren't able to absorb all the pressure given the reality of narrow retail margins....First, we want to keep our food and consumables prices as low as we can...We're positioned to manage the cost pressure from tariffs as well or better than anyone. But **even at the reduced levels, the higher tariffs will result in higher prices.**
FY26 Q2	Jul 31, 2025	7400	With regard to our US pricing decisions, given **tariff related cost pressures**, we're doing what we said we would do. **We're keeping our prices as low as we can for as long as we can...**But as we replenish inventory at post tariff price levels, we've continued to see our costs increase each week, which we expect will continue into the third, and fourth quarters...we're navigating this dynamic operating backdrop very well. We said we would play offense to keep prices as low as we can for as long as we can. And that's what we're doing.
FY26 Q3	Oct 31, 2025	7400	We have about 7,400 active rollbacks in Walmart US right now, with more than half of those in the grocery category...Since the beginning of the year, more than 2,000 rollbacks have become the new everyday price... We're leaning into price rollbacks, and making both everyday essentials, and seasonal celebrations more affordable for customers and members...**the team here feels really good about where our relative price gaps are right now.**
FY26 Q4	Jan 31, 2026	6200	As we lean into lower prices through rollbacks and EDLP in grocery categories, we're helping customers unlock purchasing power for general merchandise. **We've worked hard to mitigate grocery inflation as tariff-related costs lifted prices across many categories...**We're excited about some of the commentaries that we've heard from suppliers focusing on lower prices.. Everyday low prices is what we stand for...And we've continued to gain share among all income demographics...I might point out notably, probably skewed more towards the higher income demographics.
FY27 Q1	Apr 30, 2026	7200	We're continuing to invest in prices, extending the rollbacks...We're investing in areas that strengthen our competitive position, including pricing and wages and benefits for our associates. And we're doing this while driving long-term value for our shareholders...EDLP is core to who we are. That said, these are real impacts to cost of goods sold for us and our suppliers, and if the current elevated cost environment persists, **we'd expect somewhat higher retail price inflation in Q2 and the second half of the year...**We think the single best return that we can have on a dollar of capital right now is to invest in the customer and invest in price.

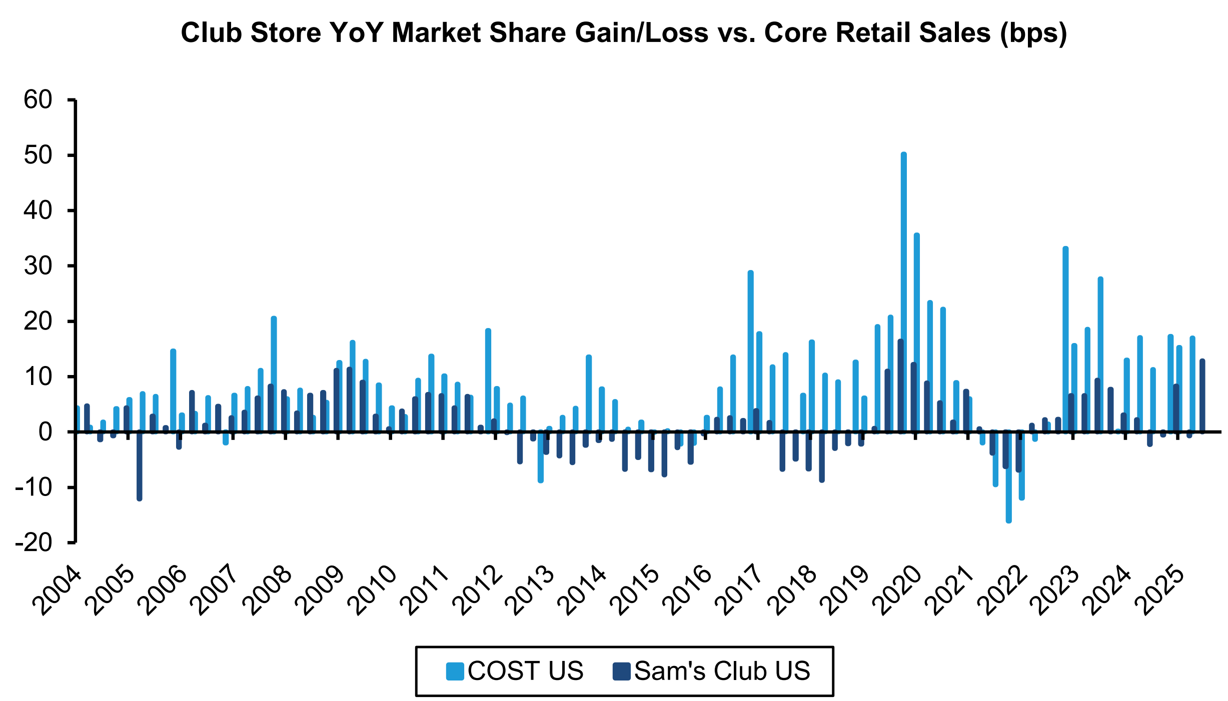
Source: Company reports, Bernstein analysis

EXHIBIT 3: **As a result, Walmart US has been taking share in recent years...**



Source: FRED - St. Louis Fed, Company disclosure, Bernstein analysis

EXHIBIT 4: **...with more pronounced share gains at Sam's Club.**



Source: FRED - St. Louis Fed, Company disclosure, Bernstein analysis

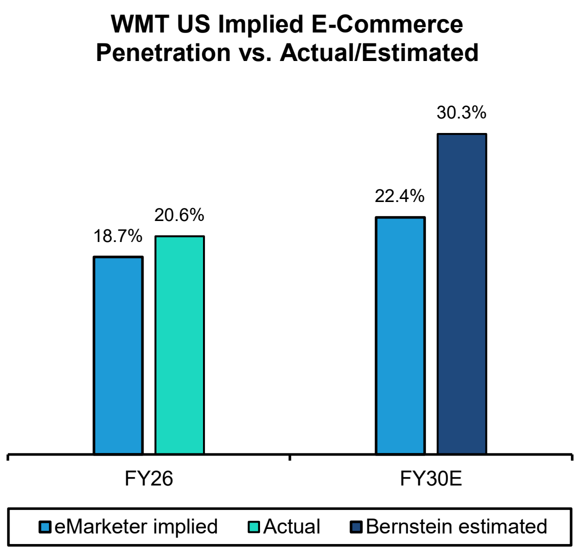
US E-COMMERCE: UPSIDE LED BY CORE E-COMM LOSS REDUCTION AND RETAIL MEDIA GROWTH

Our analysis suggests that Walmart US margins can expand by ~+200bps from FY26 to FY30 if Walmart's investments in e-commerce bear fruit, and the channel becomes EBIT margin positive on an unsubsidized basis.

We estimate that WMT US' core e-commerce business had an EBIT margin of -6% in FY26 on a fully loaded unsubsidized basis (ex retail media and membership contributions), up from -7% in FY25. This number, not disclosed by the company, is estimated by assuming brick & mortar margin of 7% (unchanged from our FY25 estimate), US retail media EBIT contribution of $2.7B (up from $1.8B in FY25), and Walmart+ membership EBIT contribution of $1.3B (FY25: ~$1B).

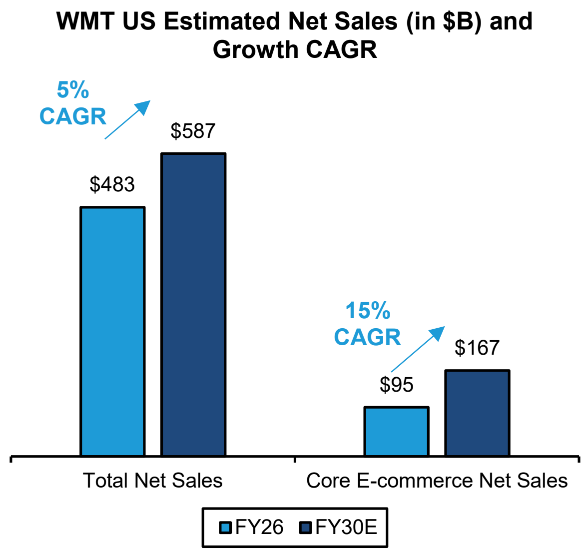
We estimate that e-commerce could represent ~30% of WMT US' sales by FY30. This implies a 15% e-commerce growth CAGR from FY26 to FY30, assuming WMT US net sales grow at a 5% CAGR. This would be driven by Walmart's 3P marketplace, which we expect will grow much faster than the 1P marketplace as Walmart adds vendor partners to the platform (Exhibit 5-Exhibit 8).

EXHIBIT 5: **WMT US' e-commerce penetration could grow to ~30% by FY30, based on eMarketer's estimated online penetration and assuming some share gains in e-grocery.**



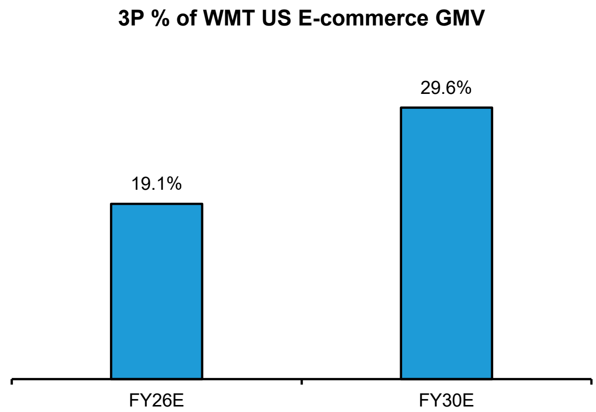
Source: eMarketer, company disclosures, Bernstein analysis and estimates

EXHIBIT 6: **This implies a 15% e-commerce growth CAGR by FY30, assuming WMT US net sales grow at a 5% CAGR.**



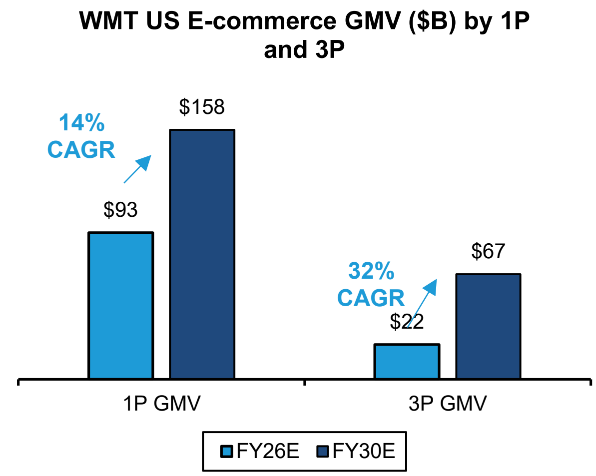
Source: eMarketer, Company disclosures, Bernstein analysis and estimates

EXHIBIT 7: **Assuming that 3P becomes ~30% of WMT US e-commerce GMV by FY30...**



Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 8: **... WMT US' 3P business could grow at much faster rate than 1P, which will contribute to its e-commerce growth momentum.**



Source: Company disclosures, Bernstein analysis and estimates

CORE E-COMMERCE: WALMART HAS PLENTY OF ROOM TO IMPROVE PROFITABILITY

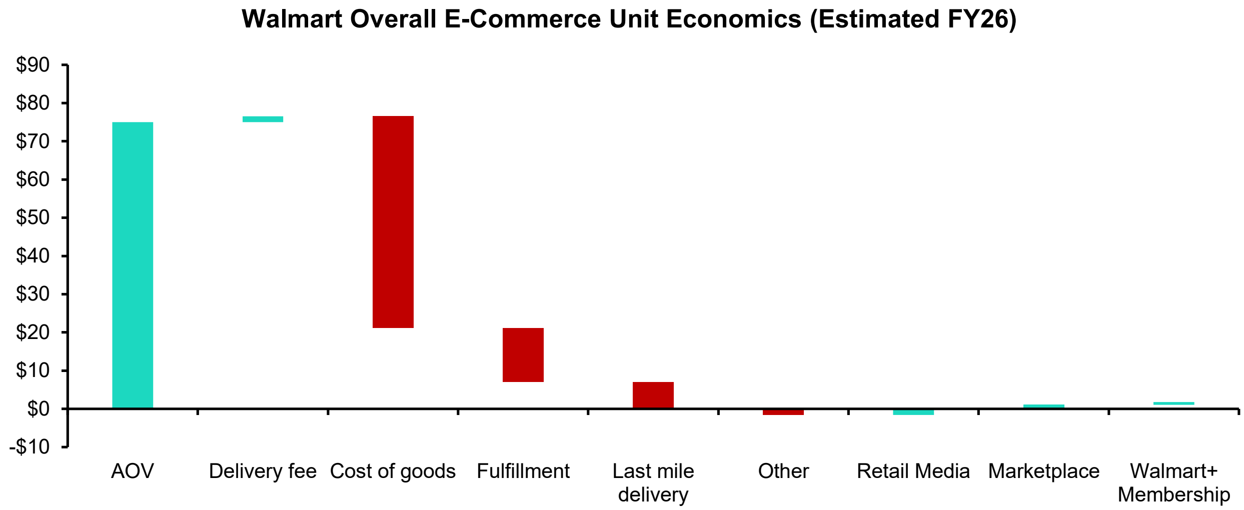
On the core e-commerce front, we see additional room for improvement as WMT continues to reduce fulfillment and delivery costs, which could contribute ~100bps to WMT US' EBIT margin expansion from FY26 to FY30 (Exhibit 9-Exhibit 10).

On fulfillment, WMT expects to largely finish building out its automated fulfillment capabilities, which could get WMT's costs closer to AMZN's level in these automated fulfillment centers. Meanwhile, WMT is actively working on expanding its same day delivery reach in a more cost-efficient way. This year, it has become clear that Walmart is developing a "dark store" network in the US, just as Sam's Club has done in China. This will allow Walmart to roll out same-day delivery to metro areas outside is superstore footprint. Indeed, reports suggest Walmart is looking to convert an old Rite Aid location in Poughkeepsie.[3] This location, stocked with a fraction of Walmart's SKU's (perhaps <10k), would be dedicated to packing delivery baskets to be fulfilled through Spark. Remodeling a small format store would presumably be quite cost-effective, and would provide a same-day delivery channel into Westchester County, and the Hudson Valley.

On delivery, we believe that WMT still has room to further reduce delivery costs by increasing density and optimizing routes. The increasing penetration of expedited delivery (at an extra cost) is clearly helping. Longer term, autonomous vehicles could structurally lower the labor cost involved in last mile delivery and "drive" the cost down further.

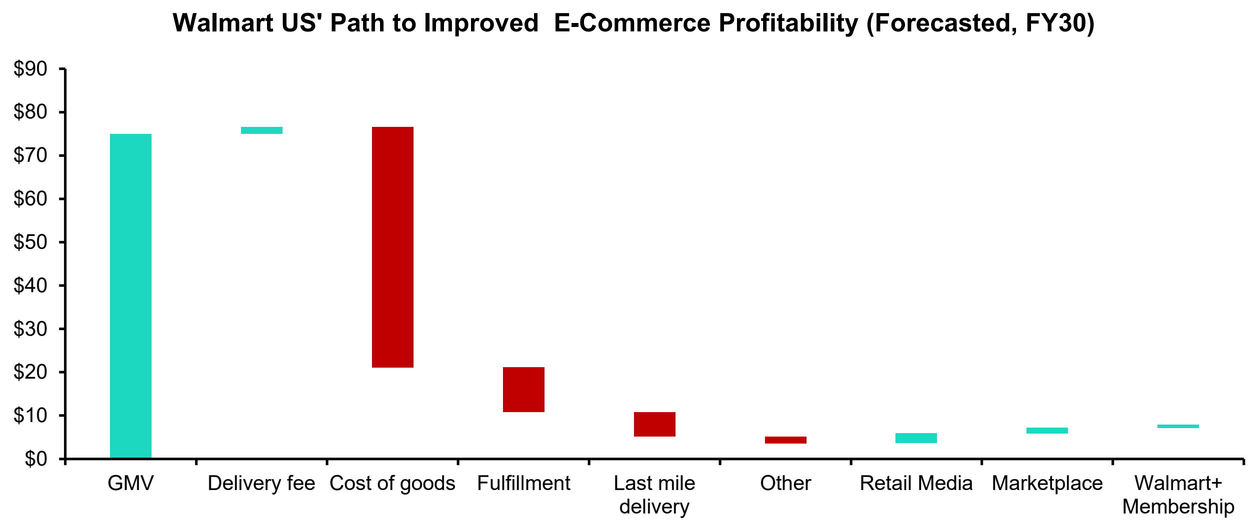
[3] Poughkeepsie weighs zoning change to lure Walmart 'delivery depot'

EXHIBIT 9: **We estimate that the Walmart US e-commerce business has a negative contribution margin of -2% today before accounting for alternative revenue streams...**



Source: Company disclosures, industry sources, Bernstein analysis and estimates

EXHIBIT 10: **...which could improve to ~5% by FY30 on an unsubsidized basis as WMT further reduces fulfillment and delivery costs.**



Source: Company disclosures, industry sources, Bernstein analysis and estimates

RETAIL MEDIA: TAKING A BIGGER SLICE OF A GROWING PIE

We see Walmart growing its e-commerce GMV from $115B (estimated) in FY26 to $225B over the next 4 years, led by 3P growth. Amazon (covered by Mark Shmulik) today makes ~7-8% in advertising in the US. Clearly, it has a privileged position in the online advertising space given its reach and SKU base.

We're not expecting Walmart to bridge the gap any time soon. However, Walmart is making progress in growing its retail media capabilities - a growing 3P marketplace (Walmart Marketplace), a growing omni-channel retail media platform (Walmart Connect), and leveraging Vizio exclusively, are all going to enhance Walmart's attractiveness as an advertising partner.

Walmart recently announced its acquisition of Vibe.co, a connected TV ad platform.[4] Vibe's core capability is to work with brands to improve their CTV outcomes through a suite of tools that help monitor campaigns, and ultimately provide metrics such as return on ad spend (ROAS). The integration of Vibe.co's capabilities into Vizio (distribution) and Walmart Connect (ad platform) makes sense from an ad ecosystem perspective, and will help Walmart achieve "broader adoption of the CTV ad media among advertisers across Walmart Connect, and the broader connected TV ecosystem, particularly among SMB and mid-market advertisers, including Walmart's third-party marketplace sellers."

We expect this will allow for a greater attach rate. We conservatively estimate Walmart will be able to grow its attach rate from 4% to 5% by FY30 while GMV nearly doubles. If Walmart can achieve this, retail media's growth could contribute ~75bps of margin expansion for Walmart US (Exhibit 12).

EXHIBIT 11: **We assume that Walmart Connect can grow to 5% of GMV, implying a ~27% growth CAGR over the next 5 years.**

	FY26E	FY30E	CAGRs
Net sales	**482,975**	**616,412**	5.0%
1P GMV	93,000	158,548	14.3%
1P GMV penetration	*19%*	*26%*	
3P GMV	22,000	66,667	31.9%
3P GMV penetration	*5%*	*11%*	
Total GMV	**115,000**	**225,215**	18.3%
Total GMV penetration	*24%*	*37%*	
Walmart Connect	**4,376**	**11,261**	26.7%
% of GMV	*4%*	*5%*	

Source: Company disclosures, Bernstein analysis and estimates

MEMBERSHIP: 80% MARGIN, AND GROWING IN LINE WITH E-COMMERCE NET SALES

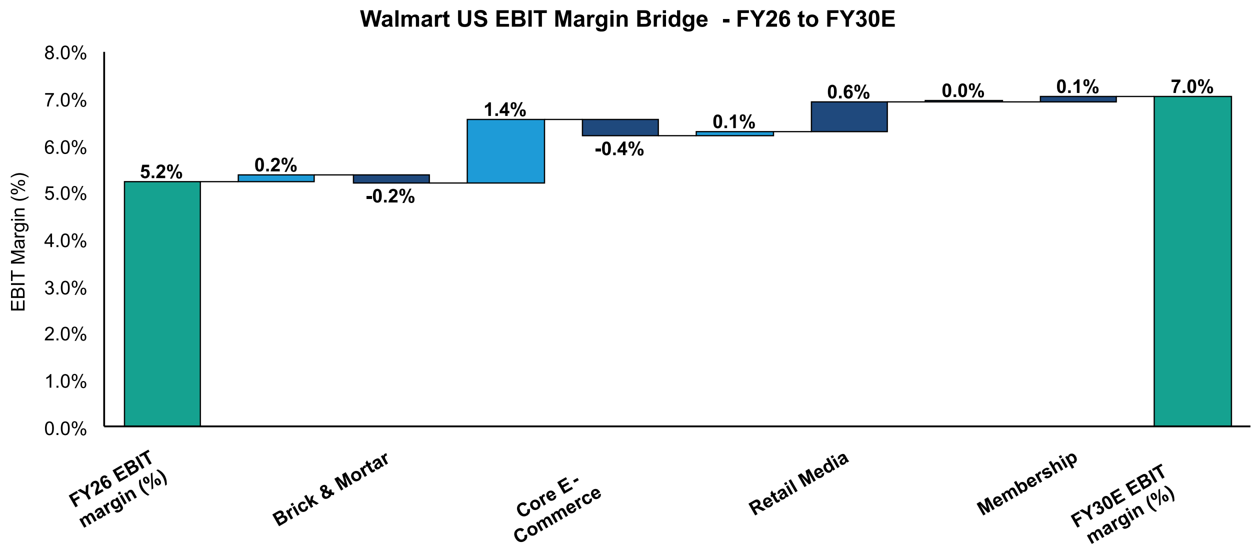
As discussed above, we expect e-commerce net sales to grow by ~15% CAGR between FY26 and FY30. We expect this will come from a greater penetration in the US consumer base, and not from a consistent growth in prices or basket size. In other words, if e-commerce grows, we would expect membership to grow at a similar pace as more people adopt the service. At an estimated EBIT margin rate of 80%, we expect this will add 11bps to consolidated EBIT margins, as membership revenue goes from ~$1.65B to $2.9B over the period.

OVERALL, WE SEE A PATH TO A 7% EBIT MARGIN FOR THE WALMART US SEGMENT...

...led by core e-commerce margin improvement and growth of high margin alternative revenue streams like retail media (Exhibit 12-Exhibit 13).

[4] Walmart to Acquire Vibe.co to Expand Access to Connected TV Advertising

EXHIBIT 12: **While growing e-commerce is a headwind to EBIT margin, a more efficient fulfilment and delivery model, and the high-margin anciliary revenue streams e-commerce enables, could lead Walmart to a 7% EBIT margin by FY2030.**



Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 13: **This assumes 15% of e-commerce growth CAGR and core e-commerce reaching a 1% EBIT margin on an unsubsidized basis.**

WMT US FY30 EBIT Margin Scenario Analysis

		WMT US E-commerce Sales Growth CAGR (FY26-30)						
		5%	10%	12%	15%	17%	20%	25%
WMT US Core E-comm. EBIT Margin in FY30 (Un-subsidized)	-2.5%	6.7%	6.4%	6.3%	6.1%	5.9%	5.7%	5.3%
	0.0%	7.3%	7.0%	6.9%	6.8%	6.6%	6.5%	6.2%
	0.5%	7.4%	7.1%	7.0%	6.9%	6.8%	6.6%	6.4%
	1.0%	7.5%	7.3%	7.2%	**7.0%**	6.9%	6.8%	6.6%
	1.5%	7.6%	7.4%	7.3%	7.2%	7.1%	7.0%	6.7%
	2.0%	7.7%	7.5%	7.4%	7.3%	7.2%	7.1%	6.9%
	2.5%	7.8%	7.6%	7.6%	7.5%	7.4%	7.3%	7.1%

Source: Company disclosures, Bernstein analysis

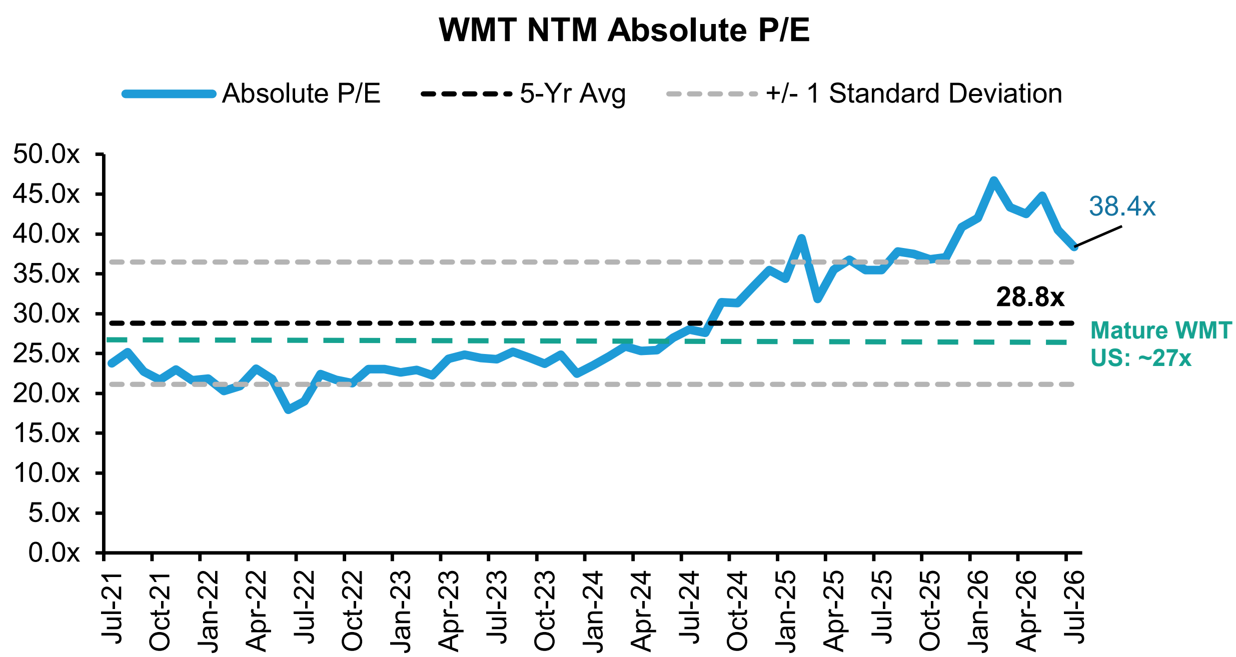
EXHIBIT 14: **Discounting this 7% EBIT margin back to today suggests WMT may not be as expensive as it seems.**

Contribution from FY26-FY30E EBIT Growth	
Incremental B&M EBIT Contribution	3,000
Incremental E-comm EBIT Contribution	13,455
Implied EPS Contribution	1.64
NPV of Implied EPS Contribution	1.25

	Current	"True" Earnings Power
NTM Consensus EPS	$ 2.99	$ 4.24
NTM P/E	38.4x	27.1x

Source: Company disclosures, Bloomberg, Bernstein analysis and estimates

EXHIBIT 15: **Instead of trading at ~38.5x forward earnings, long-term investors could be capitalizing Walmart's earnings power at ~27x instead - below its LT average valuation level.**



Source: Bloomberg, company disclosures, Bernstein analysis and estimates

RELEVANT RESEARCH

US Broadlines Retail: Gone shopping! Store tours takeaways from our 2026 SDC conference

US Broadlines Retail: Artificial intelligence...sooner or later...WMT best positioned in an AI era

US Retailing Broadlines & Hardlines: What's priced in? A multi-stage growth lens on market expectations

US Retailing Broadlines & Hardlines: What's a fair multiple for compounders and story stocks?

Walmart vs. Amazon: Can Walmart catch Amazon in the e-commerce arena?

Walmart vs. Ocado: Is there a winning strategy for e-grocery in the US?

US Retail & Internet: The battle for e-grocery delivery - WMT, CART, DASH... and AMZN?

Walmart (WMT): The e-commerce journey - What have we learned from former executives, 3P sellers, and ad buyers?

Walmart (WMT): Could Flipkart and PhonePe unlock additional upside?

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 16: **BERN Estimates vs Consensus**

WMT Bernstein vs Consensus Estimates	2023	2024	2025	2026	1Q27	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E
Topline												
Net Sales												
Bernstein	605,881	642,637	674,538	706,413	175,684	187,748	188,354	199,755	751,540	789,292	828,469	870,194
Consensus	605,881	642,637	674,538	706,413	175,684	185,398	186,758	197,967	744,224	782,015	822,123	859,174
Bern vs Cons.	0.0%	0.0%	0.0%	0.0%	0.0%	1.3%	0.9%	0.9%	1.0%	0.9%	0.8%	1.3%
Net Sales Growth												
Bernstein	6.7%	6.1%	5.0%	4.7%	7.1%	6.8%	6.0%	5.7%	6.4%	5.0%	5.0%	5.0%
Consensus	6.7%	6.1%	5.0%	4.7%	7.1%	5.5%	5.1%	4.8%	5.4%	5.1%	5.1%	4.5%
Bern vs Cons.	+0bps	+0bps	+0bps	+0bps	+0bps	+134bps	+90bps	+95bps	+104bps	-5bps	-17bps	+53bps
Net Sales Growth (cc)												
Bernstein	7.4%	5.6%	5.5%	5.1%	5.7%	6.1%	5.1%	5.3%	5.5%	4.9%	5.0%	5.0%
Consensus	7.4%	5.6%	5.5%	5.1%	5.9%	5.2%	4.7%	4.4%	5.0%	4.1%	4.3%	4.5%
Bern vs Cons.	+0bps	+0bps	+0bps	+0bps	-19bps	+88bps	+44bps	+84bps	+55bps	+77bps	+71bps	+55bps
Profitability												
Gross Profit												
Bernstein	142,160	152,495	162,785	171,018	42,626	46,004	46,255	48,343	183,228	195,046	206,970	219,480
Consensus	142,160	152,495	162,785	171,018	42,626	45,613	45,522	47,725	179,306	192,937	203,201	213,714
Bern vs Cons.	0.0%	0.0%	0.0%	0.0%	0.0%	0.9%	1.6%	1.3%	2.2%	1.1%	1.9%	2.7%
Gross Margin												
Bernstein	23.5%	23.7%	24.1%	24.2%	24.3%	24.5%	24.6%	24.2%	24.4%	24.7%	25.0%	25.2%
Consensus	23.5%	23.7%	24.1%	24.2%	24.3%	24.6%	24.4%	24.1%	24.1%	24.7%	24.7%	24.9%
Bern vs Cons.	+0bps	+0bps	+0bps	+0bps	+0bps	-10bps	+18bps	+9bps	+29bps	+4bps	+27bps	+35bps
EBIT												
Bernstein	24,602	27,105	29,504	30,982	7,619	9,082	8,564	10,221	35,486	40,837	46,017	51,507
Consensus	24,602	27,105	29,504	30,982	7,674	8,644	7,782	9,356	35,039	38,698	43,695	43,223
Bern vs Cons.	0.0%	0.0%	0.0%	0.0%	-0.7%	5.1%	10.0%	9.2%	1.3%	5.5%	5.3%	19.2%
EBIT Margin												
Bernstein	4.1%	4.2%	4.4%	4.4%	4.3%	4.8%	4.5%	5.1%	4.7%	5.2%	5.6%	5.9%
Consensus	4.1%	4.2%	4.4%	4.4%	4.4%	4.7%	4.2%	4.7%	4.7%	4.9%	5.3%	5.0%
Bern vs Cons.	+0bps	+0bps	+0bps	+0bps	-3bps	+18bps	+38bps	+39bps	+1bps	+23bps	+24bps	+89bps
Net Income												
Bernstein	17,149	17,946	20,284	21,255	5,279	6,254	5,904	7,195	24,633	28,522	32,205	36,310
Consensus	17,149	17,946	20,284	21,178	5,279	5,937	5,445	6,495	23,382	26,009	28,986	31,446
Bern vs Cons.	0.0%	0.0%	0.0%	0.4%	0.0%	5.3%	8.4%	10.8%	5.3%	9.7%	11.1%	15.5%
EPS												
EPS, Diluted (Reported)												
Bernstein	$ 1.42	$ 1.91	$ 2.41	$ 2.73	$ 0.67	$ 0.78	$ 0.74	$ 0.90	$ 3.10	$ 3.60	$ 4.09	$ 4.65
Consensus	$ 1.42	$ 1.91	$ 2.41	$ 2.73	$ 0.67	$ 0.75	$ 0.68	$ 0.82	$ 2.92	$ 3.25	$ 3.64	$ 4.03
Bern vs Cons.	0.0%	0.0%	0.0%	0.0%	0.0%	5.1%	8.3%	10.8%	6.0%	10.6%	12.5%	15.5%
EPS, Diluted (Adjusted)												
Bernstein	$ 2.10	$ 2.22	$ 2.51	$ 2.64	$ 0.66	$ 0.78	$ 0.74	$ 0.90	$ 3.09	$ 3.60	$ 4.09	$ 4.65
Consensus	$ 2.10	$ 2.22	$ 2.51	$ 2.64	$ 0.66	$ 0.74	$ 0.68	$ 0.82	$ 2.93	$ 3.29	$ 3.68	$ 4.01
Bern vs Cons.	0.0%	0.0%	0.0%	0.0%	0.0%	5.3%	8.4%	10.8%	5.3%	9.3%	11.3%	16.1%

Source: Company disclosures, Bloomberg estimates, Bernstein estimates and analysis

EXHIBIT 17: **WMT Financial Summary**

Fiscal Year	Annual	Annual	Annual	Annual		2027E			Annual	Annual	Annual	Annual
	2023	2024	2025	2026	1Q27	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E
WALMART ($ Millions)	Jan-23	Jan-24	Jan-25	Jan-26	Apr-26	Jul-26	Oct-26	Jan-27	Jan-27	Jan-28	Jan-29	Jan-30
Income Statement												
Net sales	605,881	642,637	674,538	706,413	175,684	187,748	188,354	199,755	751,540	789,292	828,469	870,194
Merchandise costs	463,721	490,142	511,753	535,395	133,058	141,744	142,098	151,412	568,312	594,246	621,499	650,714
Gross Profit	**142,160**	**152,495**	**162,785**	**171,018**	**42,626**	**46,004**	**46,255**	**48,343**	**183,228**	**195,046**	**206,970**	**219,480**
Membership and other income	5,408	5,488	6,447	6,750	2,067	1,836	1,893	1,926	7,722	8,470	9,142	9,879
SG&A (incl. preopening expenses)	127,140	130,971	139,884	147,943	37,200	38,757	39,585	40,048	155,590	162,679	170,095	177,852
Operating Income	**20,428**	**27,012**	**29,348**	**29,825**	**7,493**	**9,082**	**8,564**	**10,221**	**35,360**	**40,837**	**46,017**	**51,507**
Adj. Operating Income	**24,602**	**27,105**	**29,504**	**30,982**	**7,619**	**9,082**	**8,564**	**10,221**	**35,486**	**40,837**	**46,017**	**51,507**
Interest, net	1,874	2,137	2,245	2,431	620	703	700	658	2,682	2,813	3,146	3,234
Other (gains) and losses	1,538	3,027	794	(2,075)	(275)	-	-	-	(275)	-	-	-
Income Before Income Taxes	**17,016**	**21,848**	**26,309**	**29,469**	**7,148**	**8,379**	**7,863**	**9,563**	**32,953**	**38,025**	**42,871**	**48,272**
Adjusted Income Before Income Taxes	**21,190**	**21,941**	**26,465**	**30,626**	**7,274**	**8,379**	**7,863**	**9,563**	**33,079**	**38,025**	**42,871**	**48,272**
Provision for income taxes	5,724	5,578	6,152	7,199	1,658	2,053	1,887	2,295	7,893	9,126	10,289	11,585
Net income incl. noncontrolling interests	**11,292**	**16,270**	**20,157**	**22,270**	**5,490**	**6,326**	**5,976**	**7,268**	**25,060**	**28,899**	**32,582**	**36,687**
Net income attrr. to noncontrolling interests	388	(759)	(721)	(377)	(160)	(72)	(72)	(72)	(377)	(377)	(377)	(377)
Net Income Attributable to WMT	**11,680**	**15,511**	**19,436**	**21,893**	**5,330**	**6,254**	**5,904**	**7,195**	**24,683**	**28,522**	**32,205**	**36,310**
Adjusted Net Income Attributable to WMT	17,149	17,946	20,284	21,255	5,279	6,254	5,904	7,195	24,633	28,522	32,205	36,310
Earnings per common share:												
EPS, Basic (Reported)	$ 4.29	$ 5.76	$ 2.42	$ 2.74	$ 0.67	$ 0.79	$ 0.74	$ 0.91	$ 3.11	$ 3.61	$ 4.11	$ 4.67
EPS, Diluted (Reported)	**$ 4.27**	**$ 5.74**	**$ 2.41**	**$ 2.73**	**$ 0.67**	**$ 0.78**	**$ 0.74**	**$ 0.90**	**$ 3.10**	**$ 3.60**	**$ 4.09**	**$ 4.65**
EPS, Diluted (Adjusted)	**$ 6.29**	**$ 6.65**	**$ 2.51**	**$ 2.64**	**$ 0.66**	**$ 0.78**	**$ 0.74**	**$ 0.90**	**$ 3.09**	**$ 3.60**	**$ 4.09**	**$ 4.65**
EPS, Diluted (Reported, adjusted for FY25 stock split)	**$ 1.42**	**$ 1.91**	**$ 2.41**	**$ 2.73**	**$ 0.67**	**$ 0.78**	**$ 0.74**	**$ 0.90**	**$ 3.10**	**$ 3.60**	**$ 4.09**	**$ 4.65**
EPS, Diluted (Adjusted, adjusted for FY25 stock split)	**$ 2.10**	**$ 2.22**	**$ 2.51**	**$ 2.64**	**$ 0.66**	**$ 0.78**	**$ 0.74**	**$ 0.90**	**$ 3.09**	**$ 3.60**	**$ 4.09**	**$ 4.65**
Dividends paid per common share	$ 2.24	$ 2.28	$ 0.83	$ 0.94	$ 0.25	$ 0.25	$ 0.25	$ 0.25	$ 0.99	$ 1.05	$ 1.11	$ 1.17
Comp Sales, ex Fuel												
WMT U.S.	6.6%	5.6%	4.5%	4.6%	4.1%	4.5%	3.5%	4.0%	4.0%	3.9%	4.0%	4.0%
Sam's Club	10.5%	4.8%	5.9%	5.1%	3.9%	4.0%	4.5%	4.5%	4.2%	4.4%	4.5%	4.5%
Total U.S.	**7.1%**	**5.5%**	**4.7%**	**4.6%**	**4.1%**	**4.4%**	**3.7%**	**4.1%**	**4.1%**	**4.0%**	**4.1%**	**4.1%**
Net Sales Growth, by Segment												
WMT U.S.	6.9%	5.1%	4.7%	4.4%	4.5%	5.0%	3.9%	4.3%	4.4%	4.1%	4.2%	4.2%
Sam's Club	14.7%	2.2%	4.7%	3.1%	6.1%	9.3%	9.0%	8.2%	8.2%	5.6%	5.9%	6.4%
WMT Intl	0.0%	13.5%	6.3%	7.0%	18.0%	12.2%	11.3%	9.4%	12.5%	7.9%	7.0%	7.0%
Total Company	**6.7%**	**6.1%**	**5.0%**	**4.7%**	**7.1%**	**6.8%**	**6.0%**	**5.7%**	**6.4%**	**5.0%**	**5.0%**	**5.0%**
YoY Growth %												
Gross Profit	2.4%	7.3%	6.7%	5.1%	7.4%	7.0%	7.4%	6.7%	7.1%	6.4%	6.1%	6.0%
Operating Income	-21.3%	32.2%	8.6%	1.6%	5.0%	24.7%	27.9%	17.4%	18.6%	15.5%	12.7%	11.9%
Adj. Operating Income	-5.6%	10.2%	8.9%	5.0%	6.8%	15.3%	17.9%	17.4%	14.5%	15.1%	12.7%	11.9%
EPS, Diluted (Adjusted)	-2.6%	5.7%	13.2%	5.2%	8.2%	15.2%	19.5%	22.3%	17.0%	16.5%	13.8%	13.6%
Margin Analysis (% net sales)												
Gross margin	23.5%	23.7%	24.1%	24.2%	24.3%	24.5%	24.6%	24.2%	24.4%	24.7%	25.0%	25.2%
Membership & other income rate	0.9%	0.9%	1.0%	1.0%	1.2%	1.0%	1.0%	1.0%	1.0%	1.1%	1.1%	1.1%
Total SG&A rate	21.0%	20.4%	20.7%	20.9%	21.2%	20.6%	21.0%	20.0%	20.7%	20.6%	20.5%	20.4%
Operating margin	3.4%	4.2%	4.4%	4.2%	4.3%	4.8%	4.5%	5.1%	4.7%	5.2%	5.6%	5.9%
Adj. Operating margin	4.1%	4.2%	4.4%	4.4%	4.3%	4.8%	4.5%	5.1%	4.7%	5.2%	5.6%	5.9%
Balance Sheet Items												
Cash & Equivalents	8,625	9,867	9,037	10,727	10,729	10,545	8,574	8,169	8,169	7,074	8,321	8,815
Total Assets	243,197	252,399	260,823	284,668	289,607	295,905	307,540	304,990	304,990	325,467	349,727	372,308
Total Debt	38,840	39,579	35,999	38,166	40,783	41,172	40,620	40,132	40,132	45,022	49,669	48,877
Total Debt (incl. LT operating leases)	58,551	60,443	57,046	60,499	63,506	65,016	64,352	65,102	65,102	71,254	77,218	77,811
Other Liabilities	100,892	101,607	106,356	118,282	125,419	125,854	134,150	125,556	125,556	129,270	135,686	142,124
Shareholders' Equity Before Noncontrolling Interests	76,693	83,861	91,013	99,617	94,330	98,683	102,686	107,980	107,980	118,591	130,471	146,020
Net Working Capital (CA - CL)	(16,543)	(15,538)	(17,126)	(22,595)	(26,189)	(28,145)	(28,098)	(28,036)	(28,036)	(29,292)	(29,424)	(31,244)
Cash Flow Items												
Cash from Operations	29,101	35,726	36,443	41,565	4,738	12,505	9,146	12,443	38,832	41,064	45,457	52,065
Cash from Investing	(17,722)	(21,287)	(21,379)	(26,350)	(6,737)	(7,730)	(7,035)	(7,184)	(28,685)	(27,230)	(28,643)	(30,154)
Cash from Financing	(17,039)	(13,414)	(14,822)	(13,553)	2,328	(4,959)	(4,083)	(5,664)	(12,377)	(14,928)	(15,567)	(21,417)
Capex	(16,857)	(20,606)	(23,783)	(26,642)	(6,684)	(6,571)	(6,592)	(6,991)	(26,839)	(25,652)	(26,925)	(28,281)
Capex % of Sales	-2.8%	-3.2%	-3.5%	-3.8%	-3.8%	-3.5%	-3.5%	-3.5%	-3.6%	-3.3%	-3.3%	-3.3%
Reported Free Cash Flow	12,244	15,120	12,660	14,923	(1,946)	5,934	2,554	5,451	11,993	15,412	18,532	23,784
Free Cash Flow per Share	$ 4.48	$ 5.59	$ 1.57	$ 1.86	$ (0.24)	$ 0.74	$ 0.32	$ 0.69	$ 1.50	$ 1.94	$ 2.36	$ 3.05
Dividend per Share	$ 2.24	$ 2.28	$ 0.83	$ 0.94	$ 0.25	$ 0.25	$ 0.25	$ 0.25	$ 0.99	$ 1.05	$ 1.11	$ 1.17
ROIC												
Operating income	20,428	27,012	29,348	29,825	30,183	31,979	33,847	35,360	35,360	40,837	46,017	51,507
Plus: Interest Income	254	546	483	368	354	339	325	316	316	316	316	316
Plus: Depreciation and amortization	10,945	11,853	12,973	14,203	14,655	13,185	11,688	10,153	10,153	9,705	11,182	12,733
Plus: Rent	2,306	2,277	2,347	2,434	2,493	2,704	2,712	2,876	2,876	3,022	3,174	3,333
Numerator - ROI operating income	**33,933**	**41,688**	**45,151**	**46,830**	**47,685**	**48,207**	**48,572**	**48,706**	**48,706**	**53,880**	**60,688**	**67,889**
Average total assets	244,029	247,798	256,611	272,746	275,990	283,371	298,098	294,829	294,829	315,228	337,597	361,017
Plus: Avg accumulated D&A	106,249	114,944	121,624	126,382	62,585	63,136	67,612	67,725	67,725	11,185	21,628	33,585
Less: Avg accounts payable	(54,502)	(55,277)	(57,739)	(60,864)	(60,288)	(62,051)	(69,019)	(64,606)	(64,606)	(67,554)	(70,652)	(73,973)
Less: Avg accrued liabilities	(28,593)	(29,943)	(29,052)	(30,266)	(26,808)	(29,805)	(32,459)	(32,082)	(32,082)	(33,811)	(35,514)	(37,299)
Denominator - Average invested capital	**267,183**	**277,523**	**291,444**	**307,998**	**251,479**	**254,651**	**264,231**	**265,866**	**265,866**	**225,048**	**253,059**	**283,331**
Return on investment (ROI), TTM	**12.7%**	**15.0%**	**15.5%**	**15.2%**	**19.0%**	**18.9%**	**18.4%**	**18.3%**	**18.3%**	**23.9%**	**24.0%**	**24.0%**
ROI YoY change (bps)	*-216 bps*	*232 bps*	*47 bps*	*-29 bps*	*364 bps*	*374 bps*	*358 bps*	*311 bps*	*311 bps*	*562 bps*	*4 bps*	*-2 bps*

Source: Company disclosures, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			13 Jul 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
WMT (Walmart)	O	USD	114.78	145.00	1.5%	USD	2.64	3.09	3.60	43.5	37.2	31.9
SPX			7,515.34									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Costco Wholesale Corp

We set a $1,194 target price using a P/E multiple of 48.0x against our forward Q5-Q8 EPS estimate of $24.87.

Target Corp

We set a $124 target price using a P/E multiple of 14.5x against our forward Q5-Q8 EPS estimate of $8.54.

Walmart Inc

We set a $145 target price using a P/E multiple of 39.0x against our forward Q5-Q8 EPS estimate of $3.71.

RISKS

Costco Wholesale Corp

Our COST price target is subject to several macroeconomic and company-specific risks. Downside risks include:

- An unexpected softening of the consumer environment in the US or in large international markets could result in weaker comps and expense deleverage.
- Costco could fail to achieve new store growth targets in the US and internationally, which could hurt member acquisition and sales growth.
- Costco could fail to achieve historical levels of member retention rates and/or member upgrade rates, which could reduce the company’s overall profitability.

Target Corp

Our TGT price target is subject to several macroeconomic and company-specific risks. Upside risks include:

- Relaunches in the apparel and home categories work, with growth and gross margins inflecting.
- Target could benefit from a rebound in consumer demand for discretionary products (e.g. from stimulus) and experience less share loss than in recent years, which could lead to stronger than expected sales growth and margin recovery.
- Target’s e-commerce business could see profitability improve faster than expected, which could pose upside risks to our forecast.

Downside risks include:

- Productivity measures don’t materialize as expected, and EBIT margins suffer near-term.

- Strong momentum seen at the beginning of Q1 fades, putting the broader turnaround into question.
- Ancillary revenue growth slows, particularly in Roundel (advertising).

Walmart Inc

Our WMT price target is subject to several macroeconomic and company-specific risks. Downside risks include:

- An unexpected softening of the consumer environment in the US or in large international markets could result in weaker comps and expense deleverage.
- Walmart could fail in new business ventures, including e-commerce and advertising, which would threaten its ability to achieve long-term revenue and margin targets.
- Increased regulatory scrutiny in the US given Walmart's leading position in US grocery.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp

- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

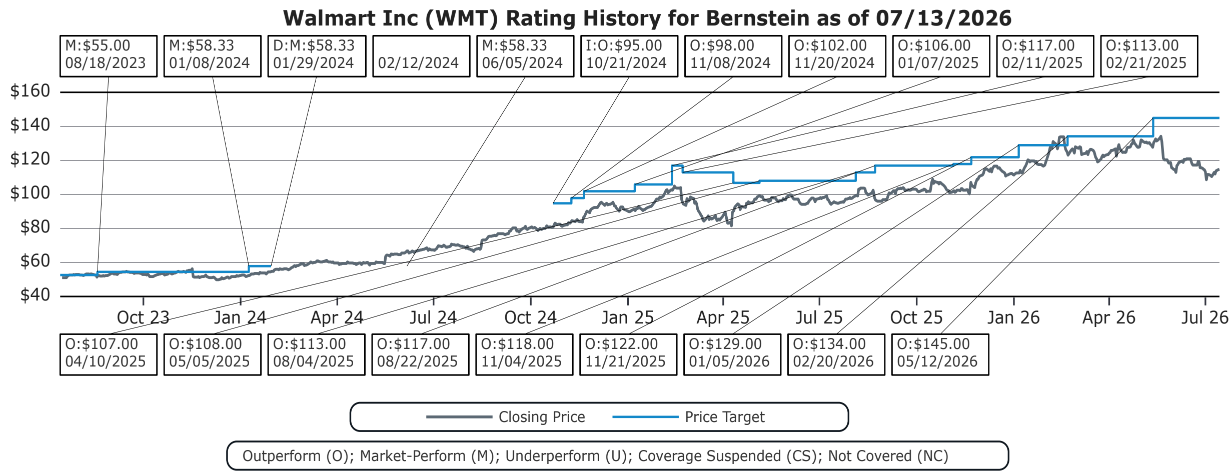
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

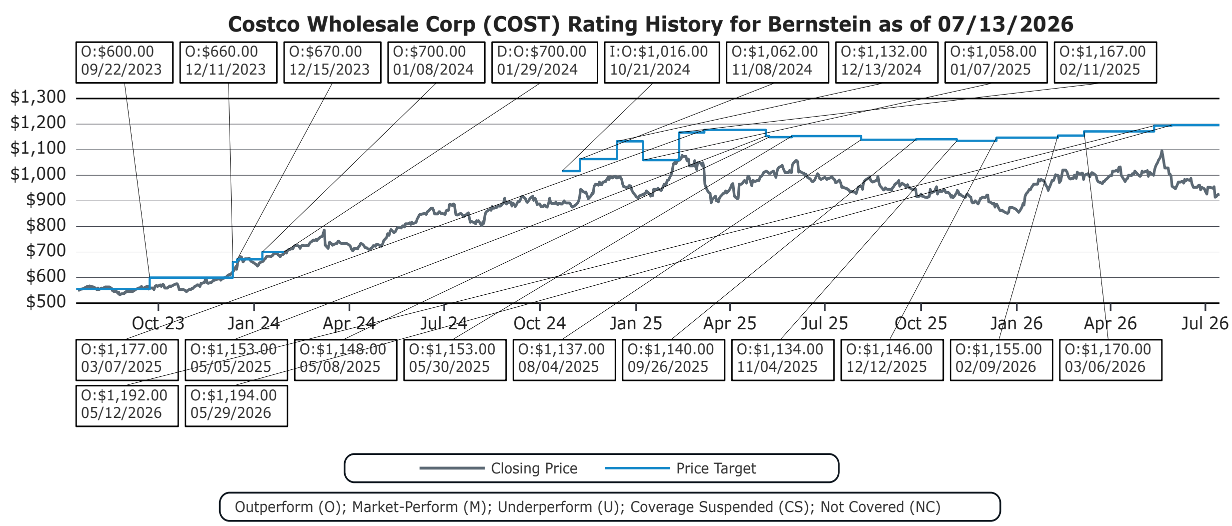
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

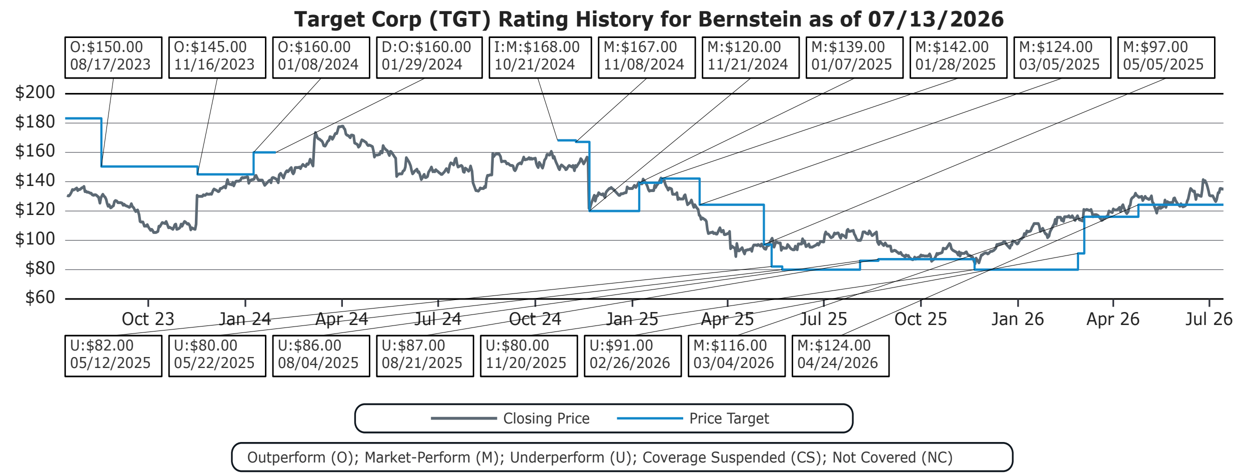
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY







All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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